NEW BUSINESS PERFORMANCE

VONB, ANP and Margin by Segment

US$ millions, unless otherwise stated	2019 VONB	2019 VONB Margin	2019 ANP	2018 VONB	2018 VONB Margin	2018 ANP	VONB Change YoY CER	VONB Change YoY AER
Hong Kong	**1,621**	**66.1%**	**2,393**	1,712	62.0%	2,697	**(5)%**	(5)%
Thailand	**494**	**67.7%**	**729**	447	73.1%	611	**6%**	11%
Singapore	**352**	**65.5%**	**538**	357	65.4%	547	**–**	(1)%
Malaysia	**258**	**63.1%**	**406**	247	63.8%	382	**7%**	4%
Mainland China	**1,167**	**93.5%**	**1,248**	965	90.5%	1,067	**27%**	21%
Other Markets[(1)]	**535**	**41.9%**	**1,271**	435	35.8%	1,206	**27%**	23%
Subtotal	**4,427**	**66.6%**	**6,585**	4,163	63.2%	6,510	**8%**	6%
Adjustment to reflect consolidated reserving and capital requirements	**(87)**	**n/m**	**n/m**	(56)	n/m	n/m	**n/m**	n/m
After-tax value of unallocated Group Office expenses	**(154)**	**n/m**	**n/m**	(152)	n/m	n/m	**n/m**	n/m
Total before non-controlling interests	**4,186**	**62.9%**	**6,585**	3,955	60.0%	6,510	**7%**	6%
Non-controlling interests[(1)]	**(32)**	**n/m**	**n/m**	–	n/m	n/m	**n/m**	n/m
Total	**4,154**	**62.9%**	**6,585**	3,955	60.0%	6,510	**6%**	5%

Note:
(1) In 2019, ANP and VONB for Other Markets include 49 per cent of the results from Tata AIA Life Insurance Company Limited (Tata AIA Life) to reflect our shareholding. The contribution to ANP and VONB amount to US$182 million and US$38 million respectively. The total reported VONB for the Group in 2019 excludes the VONB attributable to non-controlling interests of US$32 million. For 2018, neither ANP nor VONB have been restated and they do not include any contribution from Tata AIA Life or deduct the amount attributable to non-controlling interests. As disclosed in our Annual Report 2018, the VONB attributable to non-controlling interests for 2018 is US$27 million.

VONB grew by 6 per cent to US$4,154 million in 2019 as very strong growth in Mainland China and Other Markets was largely offset by a 5 per cent decline in Hong Kong where the social unrest in the second half of 2019 drove a substantial decline in the Mainland Chinese visitor customer segment.

ANP increased by 2 per cent to US$6,585 million and VONB margin increased by 3.0 pps to 62.9 per cent. PVNBP margin increased to 11 per cent from 10 per cent in 2018. Despite the lower interest rate environment in the second half of 2019, both VONB margin and PVNBP margin improved in 2019, supported by the enhanced profitability in our long-term savings and protection products in Hong Kong and the positive effect of a tax rule change that increased the tax deductibility of commissions in Mainland China.

Agency distribution accounted for 74 per cent of the Group's total VONB. The consistent execution of our Premier Agency strategy helped generate 11 per cent VONB growth to US$3,243 million and a 5 per cent increase in the number of active agents. Partnership distribution VONB reduced by 1 per cent to US$1,142 million. Strong growth from our bancassurance channel was offset by the significant decline in new business from the Hong Kong retail IFA channel in the second half of 2019, reflecting the reduction in visitor arrivals and increased competition.

Excluding Hong Kong, the Group's total VONB grew strongly at 16 per cent compared to 2018. Also excluding Hong Kong, VONB from the Group's agency distribution grew at 16 per cent and VONB from partnership distribution increased by 19 per cent.

Hong Kong reported a 5 per cent reduction in VONB in 2019. Double-digit growth in VONB from our domestic customer segment was more than offset by a substantial decline in VONB from the Mainland Chinese visitor customer segment, which broadly tracked the reduction in visitor arrivals from Mainland China, as reported by the Hong Kong Tourism Board, in the second half of 2019. VONB margin increased by 4.1 pps to 66.1 per cent, mainly driven by enhanced profitability in our long-term savings and protection products.

Mainland China delivered very strong VONB growth of 27 per cent to US$1,167 million. Our Premier Agency strategy supported double-digit growth in active agents and further improvements in productivity. VONB margin increased by 3.1 pps to 93.5 per cent, as the positive effect of the tax rule change previously mentioned was partly offset by the impact of enhanced policyholder benefits within our protection products.

Thailand continued to benefit from strong progress in both our Financial Adviser (FA) programme and our exclusive partnership with Bangkok Bank Public Company Limited (Bangkok Bank), and reported overall VONB growth of 6 per cent to US$494 million in 2019. VONB margin decreased to 67.7 per cent mainly as a result of a higher proportion of bancassurance business.

VONB in Singapore remained stable at US$352 million in 2019 as growth in regular premium sales was offset by lower single premium sales in our partnership distribution channel.

Malaysia achieved VONB growth of 7 per cent to US$258 million in 2019, supported by increased sales in both agency and in-branch bancassurance channels.

Other Markets reported very strong VONB growth of 27 per cent to US$535 million led by Australia, the Philippines and Vietnam.

The VONB results for the Group in 2019 are reported after a deduction of US$273 million for the consolidation reserving and capital requirements over and above local statutory requirements, the present value of unallocated Group Office expenses and VONB attributable to non-controlling interests.

In 2019, ANP and VONB for Other Markets include 49 per cent of the results from Tata AIA Life to reflect our shareholding. The contribution to ANP and VONB amount to US$182 million and US$38 million respectively. The total reported VONB for the Group in 2019 excludes the VONB attributable to non-controlling interests of US$32 million. For 2018, neither ANP nor VONB have been restated and they do not include any contribution from Tata AIA Life or deduct the amount attributable to non-controlling interests. As disclosed in our Annual Report 2018, the VONB attributable to non-controlling interests for 2018 is US$27 million.